

Multiple Choice (10 marks)

1. Stagflation occurs when
 - (a) the price level rises for two consecutive quarters
 - (b) the price level rises and output falls
 - (c) the price level stays the same and output increases
 - (d) the price level stays the same and output decreases
2. Suppose that there are only two goods: x and y. Which of the following is NOT correct?
 - (a) One can have comparative advantage in producing both goods.
 - (b) One can have both an absolute advantage and a comparative advantage in producing x.
 - (c) One can have absolute advantage and no comparative advantage in producing x.
 - (d) One can have comparative advantage and no absolute advantage in producing x.
3. A fixed output level in the long run at full-employment output corresponds with which of the following shapes of the long-run Phillips curve?
 - (a) Horizontal
 - (b) Convex to the origin
 - (c) Concave to the origin
 - (d) Vertical
4. Which characteristic is likely a part of a monopoly market but not of monopolistic competition?
 - (a) Differentiated products
 - (b) Patents and copyrights
 - (c) Possibility of profit in the short run
 - (d) Deadweight loss exists
5. Suppose a price floor is installed in the market for coffee. One result of this policy would be
 - (a) a decrease in the demand for coffee-brewing machines.
 - (b) a persistent shortage of coffee in the market.
 - (c) an increase in consumer surplus due to lower coffee prices.
 - (d) an increase in the demand for coffee.

True / False (10 marks)

Answer True or False

6. True or False: Price times quantity equals total revenue in a market.
7. True or False: The Consumer Price Index (CPI) is calculated weekly by the Bureau of Economic Analysis.
8. True or False: Economic growth is critical in determining the standard of living in a nation.
9. True or False: An expansionary monetary policy has no effect on the balance of trade, leaving imports and exports unchanged.
10. True or False: Japanese consumers buying U.S. CDs increases the U.S. GDP.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of seasonal unemployment using the example of Theo losing his job at the public swimming pool due to its winter closure. What are the broader implications of this type of unemployment?
12. Discuss how rising price levels can affect the effectiveness of expansionary fiscal policy and explain why the spending multiplier may be smaller than initially predicted.

End of Paper